

How to Open a Leveraged Position with a Market Order on the Danogo Preprod dApp

This guide explains how to open a leveraged position on any trading pair using a **market order**. The flow is the same for every pair and for both position sides — **Long** (Buy) and **Short** (Sell).

The dApp is non-custodial: it never holds your keys, and every transaction is signed in your own wallet.

The DApp runs on the Preprod testnet environment; all assets are test assets.

Throughout the guide, a trading pair is written as **BASE/QUOTE** — e.g. in **fBTC/fUSDM**, fBTC is the base token (the asset you are trading) and fUSDM is the quote token (the asset the price is denominated in). Examples use this pair, but the steps apply to any pair listed on the dApp.

1. Prerequisites

Before opening a position you need a Preprod wallet that holds two kinds of test funds: **tADA** to pay transaction fees, and a **collateral token** to deposit as margin.

Item	Details
Wallet	Eternl or Lace browser extension, switched to the Preprod network
Collateral	Either token of the trading pair (base or quote) to use as margin — e.g. fBTC or fUSDM for the fBTC/fUSDM pair. The on-chain protocol accepts any supported token as collateral; the current dApp UI limits the deposit to the pair's two tokens
Fees	A small amount of tADA (test ADA) to pay transaction fees
Browser	Chrome / Brave / Edge with the wallet extension enabled

If your wallet is new or empty, follow the two steps below to get both. If it already holds tADA and the collateral token, skip ahead to section 2.

Getting test funds

Both tADA and the fTokens (fUSDM, fBTC, ...) are free test assets on Preprod. They come from two different places: tADA from the official Cardano faucet, and fTokens from the Nio Dev Tool. Get tADA **first** — the mint transaction itself needs it to pay the fee.

Step 1 — Get tADA from the Cardano Preprod faucet. Open the official [Cardano Preprod faucet](#), paste your Preprod wallet address, complete the captcha and submit. The tADA usually arrives within a minute.

The screenshot shows the 'Testnets faucet' tool on the Cardano Docs website. Red boxes and arrows highlight the following steps:

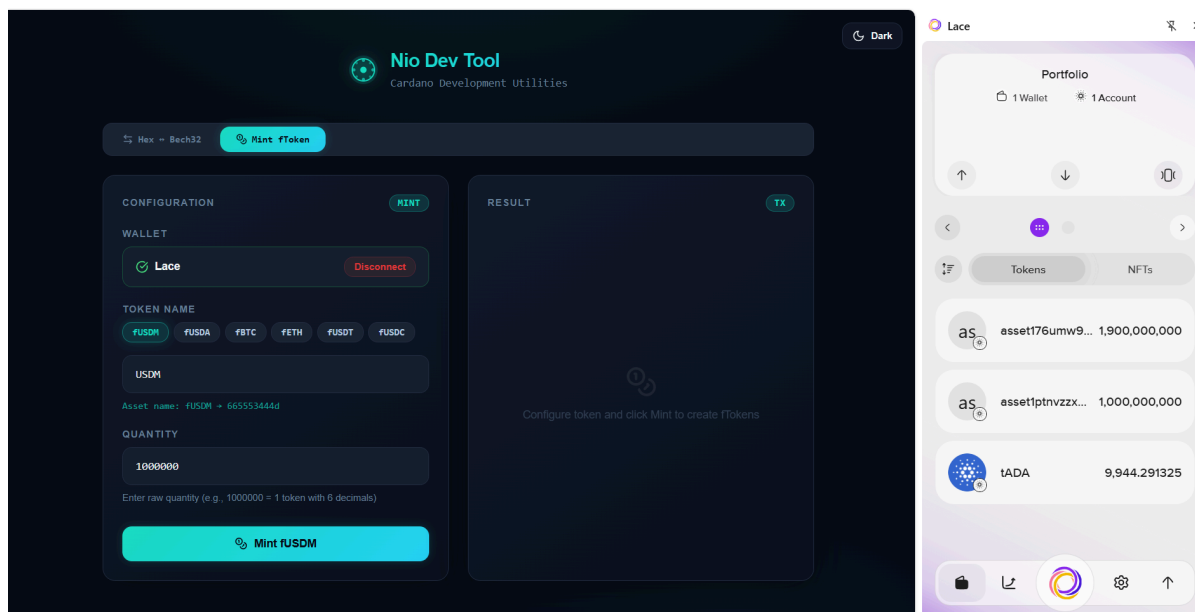
- Environment:** A dropdown menu with 'Preprod Testnet' selected. Annotation: "Select 'Preprod Testnet' as the environment".
- Action:** A dropdown menu with 'Receive test ADA' selected. Annotation: "Select 'Receive test ADA' as the action".
- Address (required):** A text input field containing a long hexadecimal address. Annotation: "Paste your Preprod wallet address here".
- API Key (optional):** An empty text input field.
- reCAPTCHA:** A checkbox labeled 'I'm not a robot' with a reCAPTCHA logo. Annotation: "Complete the reCAPTCHA".
- Request funds:** A blue button at the bottom. Annotation: "Click 'Request funds' — you will receive 10,000 tADA".

Step 2 — Mint the collateral fToken with the Dev Tool at [Danogo tool](#). This tool lets you mint any testnet fToken (fUSDM, fBTC, fETH, ...) directly into your wallet. This token use in Danogo Preprod DApp:

1. Open the tool and select the **Mint fToken** tab.
2. Under **Wallet**, choose your browser wallet extension (**Eternl** or **Lace**) and approve the connection. Make sure the wallet is on **Preprod**.
3. Under **Token Name**, pick the fToken you want to receive — e.g. **fUSDM** or **fBTC**.
4. Under **Quantity**, enter the **raw amount including decimals**. The field takes the smallest unit of the token, so you must multiply the amount you want by 10^{decimals} :

Token	Decimals	To receive...	Enter
fUSDM	6	1,000 fUSDM	1000000000
fUSDM	6	100 fUSDM	100000000
fBTC	8	1 fBTC	100000000
fBTC	8	0.01 fBTC	1000000

5. Click **Mint <token>** (e.g. **Mint fUSDM**), then **Sign** the transaction in your wallet.
6. After signing, the minted tokens appear in your wallet within 1–3 minutes.



The minted fTokens are test assets on Preprod only and have no real value. You can mint as many as you need for testing. Once your wallet holds some tADA and the collateral token, you are ready to open the dApp.

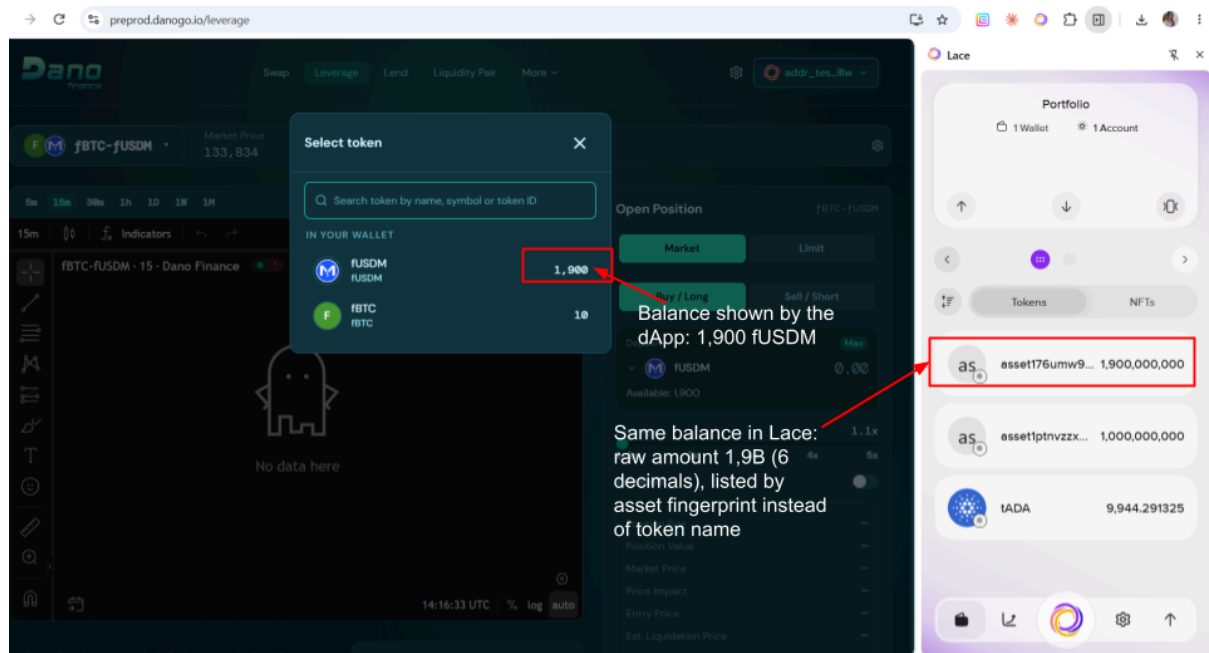
2. Connect your wallet

To open or close a position on Danogo Leverage, you need to connect your wallet first and the environment need to be on preprod environment

The dApp needs a connected wallet to read your balances and to send transactions to you for signing. It never has access to your keys.

1. Click **Connect Wallet** in the top-right corner.
2. Choose your wallet (Eternl or Lace) from the list.
3. Approve the connection in the wallet popup.
4. Confirm that the wallet shows **Preprod** as the active network and that your balance of the selected collateral token appears under **Available** in the Deposit field.

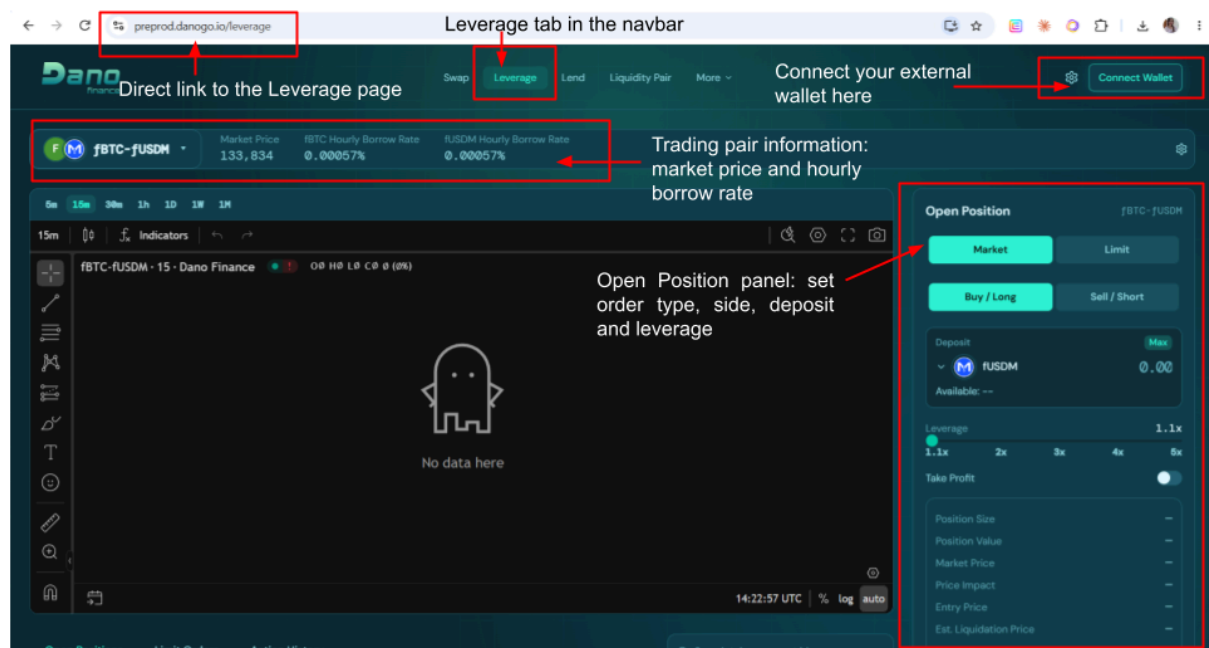
*If **Available** shows -- or 0, check that the wallet is on Preprod and holds the token selected in the Deposit dropdown.*



3. Open the Leverage page

All leverage trading happens on the **Leverage** page of the Danogo dApp.

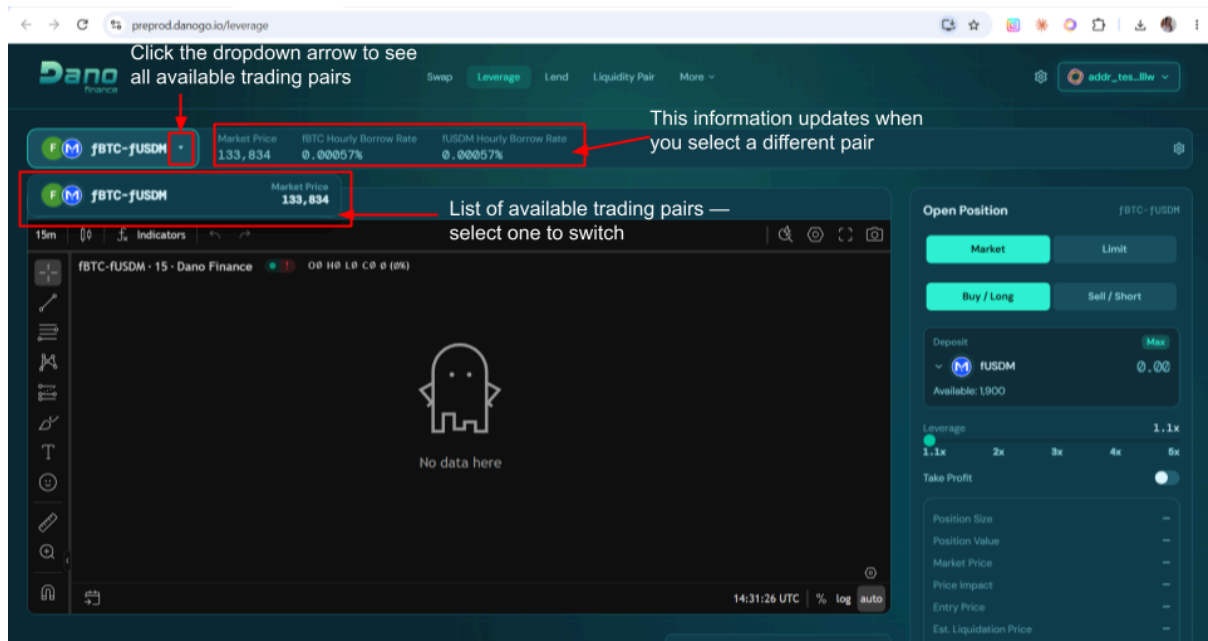
- Go directly to [Danogo leverage](#), or open the dApp home page [Danogo home page](#) and click the **Leverage** tab in the navbar.
- You should see:
 - The **trading pair selector** at the top-left, showing the current pair with its **Market Price** and the **Hourly Borrow Rate** for each token of the pair (the borrow rates come from the **Danogo Flexible Lending Pool**).
 - A price chart in the middle.
 - The **Open Position** panel on the right.



4. Select the trading pair

Next, choose the market you want to trade. The page opens on a default pair, so skip this section if it is already the one you want.

1. Click the pair selector at the top-left (e.g. **fBTC-fUSDM**).
2. Pick the pair you want to trade from the list.
3. The chart, market price, borrow rates and the Open Position panel update to the selected pair.



5. Configure the position

With the wallet connected and the pair selected, fill in the **Open Position** panel on the right. There are four choices to make: the order type, the position side, the collateral deposit, and the leverage.

Step	Action	What it means
5.1	Select the Market tab	The position is opened at the current market price (as opposed to a Limit order, which waits for a target price).
5.2	Select the position side: Buy / Long or Sell / Short	Long — you profit if the base token rises against the quote token. The protocol borrows the quote token and swaps it into the base token. Short — you profit if the base token falls. The protocol borrows the base token and swaps it into the quote token. The remaining steps are identical for both sides.
5.3	In Deposit , pick the collateral token from the dropdown (the pair's base or quote token) and enter	This is your own collateral; either token of the pair can be used, regardless of the side. Click Max to use the full balance.

	the amount to use as margin — e.g. 100	
5.4	Set Leverage (preset buttons 1.1x–5x or the slider)	The protocol borrows the rest from the Danogo lending pool. With 100 of collateral at 2x, the total position value is ~200 (in quote-token terms).
5.5	(Optional) Toggle Take Profit and set a target	Not required for this flow.

The screenshot shows the 'Open Position' interface for the fBTC-fUSDM pair. Red boxes and arrows highlight the following elements:

- Market tab:** A red box highlights the 'Market' button, with an arrow pointing to it and the text 'Select the Market tab to open a position with a market order'.
- Position side:** A red box highlights the 'Buy / Long' button, with an arrow pointing to it and the text 'Select the position side here'.
- Collateral token and amount:** A red box highlights the 'Deposit' section showing 'FUSDM' and '100', with an arrow pointing to it and the text 'Select the collateral token and enter the deposit amount'.
- Leverage:** A red box highlights the leverage slider set to '2x', with an arrow pointing to it and the text 'Set the leverage'.
- Position preview:** A red box highlights the 'Position preview' section on the right, with an arrow pointing to it and the text 'Position preview — see section 6 for details'.
- Open button:** A red box highlights the 'Open Long fBTC' button at the bottom right, with an arrow pointing to it and the text 'Click to open the position — your wallet will ask you to sign'.

Other annotations include:

- 'When you success open position it will appear at here' → Example of an opened position (from an earlier order)' pointing to the 'Open Positions' table at the bottom.
- 'No data here' pointing to the main chart area.

PAIR	POSITION	PNL	ENTRY PRICE	CURRENT PRICE	TAKE PROFIT	LIQUIDATION PRICE	DEPOSIT	HOURLY BORROW RATE	ACTIONS
fBTC-fUSDM	Long 2.3x	\$218.69 -1.54%	136,680	136,613	93,702		\$98.69	0.00057%	Close

6. Review the position preview

As soon as the form is filled in, the panel below it shows a preview of the position the protocol is about to open. Check it before continuing:

- **Position Size** — amount of the base token the position will hold
- **Position Value** — total value in the quote token (margin + borrowed)
- **Market Price / Entry Price** — current price and the estimated fill price
- **Price Impact** — expected slippage from swapping on Minswap
- **Est. Liquidation Price** — the price at which the position would be liquidated (below the entry price for Long, above it for Short)
- **Hourly Borrow Fee** — cost of the borrowed token
- **Borrowed amount and fees**

Higher leverage moves the liquidation price closer to the entry price.

7. Sign and submit the transaction

If the preview looks right, open the position. This is the only step that requires your signature.

1. Click the **Open** button at the bottom of the panel (labelled **Buy / Long** or **Sell / Short** depending on the side you selected).

2. Your wallet opens a signing popup. Check the assets being sent (your collateral deposit + a small tADA fee), then click **Sign**.
3. Enter your spending password if prompted and **Submit**.
4. The dApp shows a confirmation toast with the **transaction hash**. Copy it — you will need it to verify on-chain.

What this transaction does on-chain:

- Locks your collateral (margin) in the Danogo Order Book contract.
- Borrows the leveraged amount from the **Danogo Flexible Lending Pool** — the quote token for a Long, the base token for a Short.
- Places a **swap order** routed to **Minswap V2** — quote → base for a Long, base → quote for a Short.

8. Wait for the position to go live

Opening a position takes two on-chain transactions: the one you just signed, and a follow-up **fill** transaction that the protocol executes for you. You do not need to do anything for the second one.

1. Wait for the transaction to be confirmed on Preprod (usually 20 s – 2 min).
2. A separate **fill** transaction is then executed by the protocol's batcher: it reads the Minswap V2 pool of the selected pair and executes the swap at market price.
 - **Once the swap order is submitted to Minswap DEX, it must wait for the Minswap batcher to process and match the order.**
 - **On the Preprod environment, the Minswap batcher may take longer to run than on Mainnet. While waiting for the Minswap batcher, the order will be displayed under Open Position with action Setting**

PAIR	POSITION	PNL	ENTRY PRICE	CURRENT PRICE	TAKE PROFIT	LIQUIDATION PRICE	DEPOSIT	HOURLY BORROW RATE	ACTIONS
fBTC-fUSD Long 2.4x	\$212.13 0.001552 fBTC	—	—	136.672	—	96.644	\$92.13 0.001552 fBTC	0.00057%	Setting

- When the swap order was executed by Minswap batcher, the received token is locked as collateral in the position contract.
3. Once filled, the position appears in the **Open Positions** tab at the bottom of the page, showing:
 - **Pair and Side** (Long / Short)
 - **Size** (base token) and **Value** (quote token)
 - **Entry Price** and **Market Price (Current Price)**
 - **PnL** (unrealised profit/loss)
 - **Liquidation Price** and **Health Factor**

Your position is now live on-chain.

9. Close the position with a market order

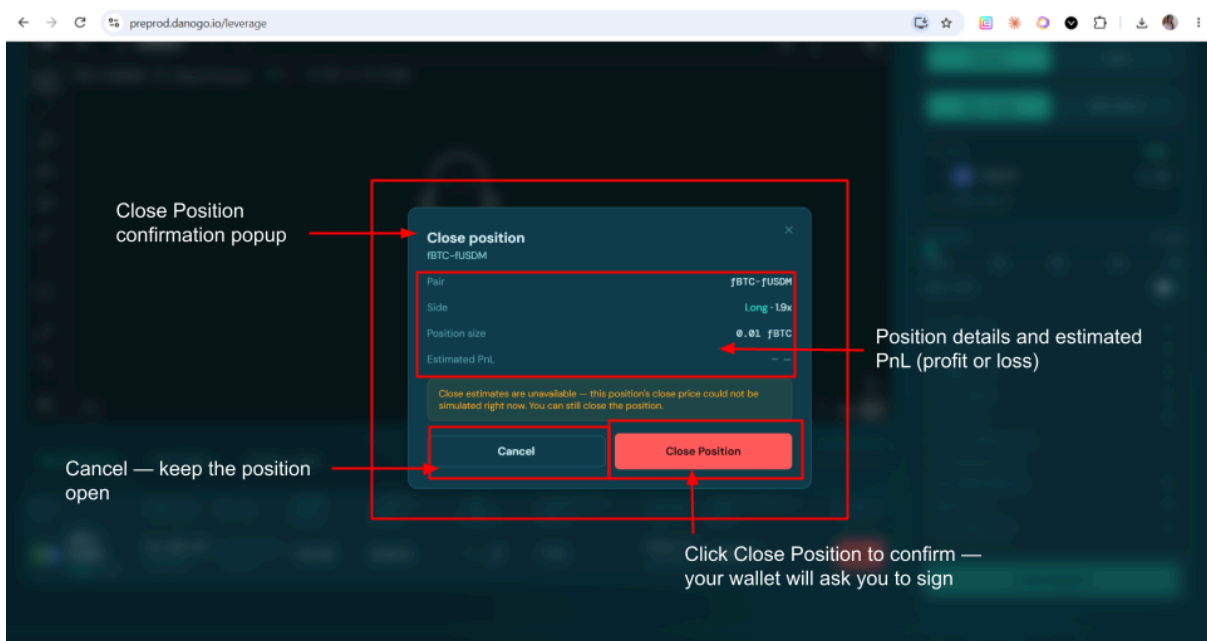
A position stays open until you close it (or until it is liquidated). Closing at market price sells the collateral back through Minswap, repays the Danogo loan, and returns whatever is left — your deposit plus or minus the realised PnL — to your wallet. Like opening, closing is a single signature followed by protocol-side fill and settlement transactions.

9.1 Close the position

1. Go to the **Open Positions** tab at the bottom of the Leverage page.

- Find the position you want to close and click **Close** in its **Actions** column.
- A confirmation popup opens with a summary of the position and the estimated amount you will receive back. The whole position is closed at the current market price — there is nothing else to configure.
- Review the summary, then click **Close** to confirm.
- Your wallet opens a signing popup. Click **Sign**, enter your spending password if prompted, and **Submit**.
- The dApp shows a confirmation toast with the **close transaction hash**. Copy it if you want to verify on-chain.

PAIR	POSITION	PNL	ENTRY PRICE	CURRENT PRICE	TAKE PROFIT	LIQUIDATION PRICE	ACTIONS
fBTC-fUSDm Long -1.9x	\$1,366.69 0.01 fBTC		136,666	136,668	--	77,115	\$749.77 0.01 fBTC 0.00057% Close



9.2 Wait for settlement

Closing takes three on-chain transactions; only the first one needs your signature.

- Close order** — the transaction you just signed places a sell order for the collateral.
- Fill** — the protocol's batcher swaps the collateral back through the **Minswap V2 pool** (base → quote for a Long, quote → base for a Short).
- Settle** — the protocol **repays the Danogo loan** (principal + accrued borrow fee) and sends the remainder, together with the refundable ADA deposit, to your wallet.

Once settled, the position disappears from **Open Positions**, the closed trade appears under **Action History**, and your wallet balance updates.

What you get back: your original collateral, plus the profit or minus the loss of the position, minus the borrow and protocol fees. If the position was liquidated before you closed it, the collateral was already used to repay the loan and nothing (or only a small remainder) is returned.

10. Verify on Cardanoscan (optional)

Everything the dApp shows can be checked independently on the Preprod block explorer, using the transaction hashes from steps 7 and 9.

Open <https://preprod.cardanoscan.io> and paste a transaction hash, or open <https://preprod.cardanoscan.io/transaction/<hash>> directly.

10.1 Open flow

1. In the **open** transaction you should see an input from the Danogo lending pool script and an output to the Minswap adapter (the swap order).
2. Find the follow-up **fill** transaction (it spends the order UTxO). In its **Reference Inputs** you will see the **Minswap V2 pool** UTxO of the pair, and in Inputs/Outputs the token direction — quote → base for a Long, base → quote for a Short.
3. The resulting output is sent to the Danogo **position** script — this is your locked collateral.

10.2 Close flow

1. In the **close** transaction you should see the position UTxO being spent and a sell order created.
2. The follow-up **fill** transaction again references the **Minswap V2 pool**, this time with the token direction reversed — base → quote for a Long, quote → base for a Short.
3. The final **settle** transaction spends the Danogo **loan** UTxO (repayment) and sends the remaining tokens plus the refundable ADA to your wallet address.

Cardanoscan does not label Minswap contracts. Anything in a fill transaction that is **not** a Danogo script address is the Minswap V2 pool.

11. Troubleshooting

If something does not work as described above, check the most common causes first:

Problem	Likely cause / fix
Connect Wallet does nothing	Wallet extension is not installed/enabled, or dApp access is blocked in the wallet settings.
Available shows --	Wallet is on Mainnet or Preview. Switch to Preprod and reconnect.
Transaction fails to build	Not enough tADA for fees, or not enough of the selected collateral token for the deposit. Top up and retry.
Mint transaction fails in the Nio Dev Tool	The wallet has no tADA to pay the fee. Get tADA from the Preprod faucet first, wait for it to arrive, then mint again.
Position stays pending / not filled	The batcher has not executed the fill yet — wait a few minutes. If it persists, the pool price path may be unavailable; contact the team.
Wallet popup does not appear	Check for a blocked popup or an extension window hidden behind the browser.

Position still listed after closing	The fill or settle transaction has not been executed yet — wait a few minutes and refresh. Check Action History for the close order status.
Received less than expected after closing	Borrow fees accrue hourly and the close swap has price impact; both reduce the returned amount. Compare with the preview shown in the Close modal.